

There were so few patterns that I limited the presentation to bull markets only, as I mentioned.

Breakeven failure rate. The breakeven failure rate is a measure of how often patterns fail to rise more than 5% (as measured from the low at D). With such a high average rise (44.3%), you might expect to see a low failure rate. Indeed, that's what the pattern shows, at 10.2%.

Average rise after D. The average rise measures from the low at point D. The 44.3% rate compares favorably to the 42.4% average rise from non-Fibonacci-based patterns.

Volume trend, performance. Volume trends lower 80% of the time as measured from the start of the pattern to the end using linear regression. Performance is best if the trend is downward (with rises averaging 47%!).

However, don't let the wide difference (35% and 47%) between the two values fool you. I found just 27 samples with upward volume trends, which is probably why the 35% gain is so tiny. The difference between the two values will shrink with more samples.

Trading Tactics

Are you a swinger? Swing trader, that is. If so, then the following table is just for you. With this pattern, you can use your software to calculate at what price D would need to appear to complete the bat. Then you can wait to see if it appears.

If it does, then consider buying the stock and riding price higher. But how often does the stock turn upward at D, and how far up does price rise? Those are important questions any swing trader wants to know. Here's what I found out.